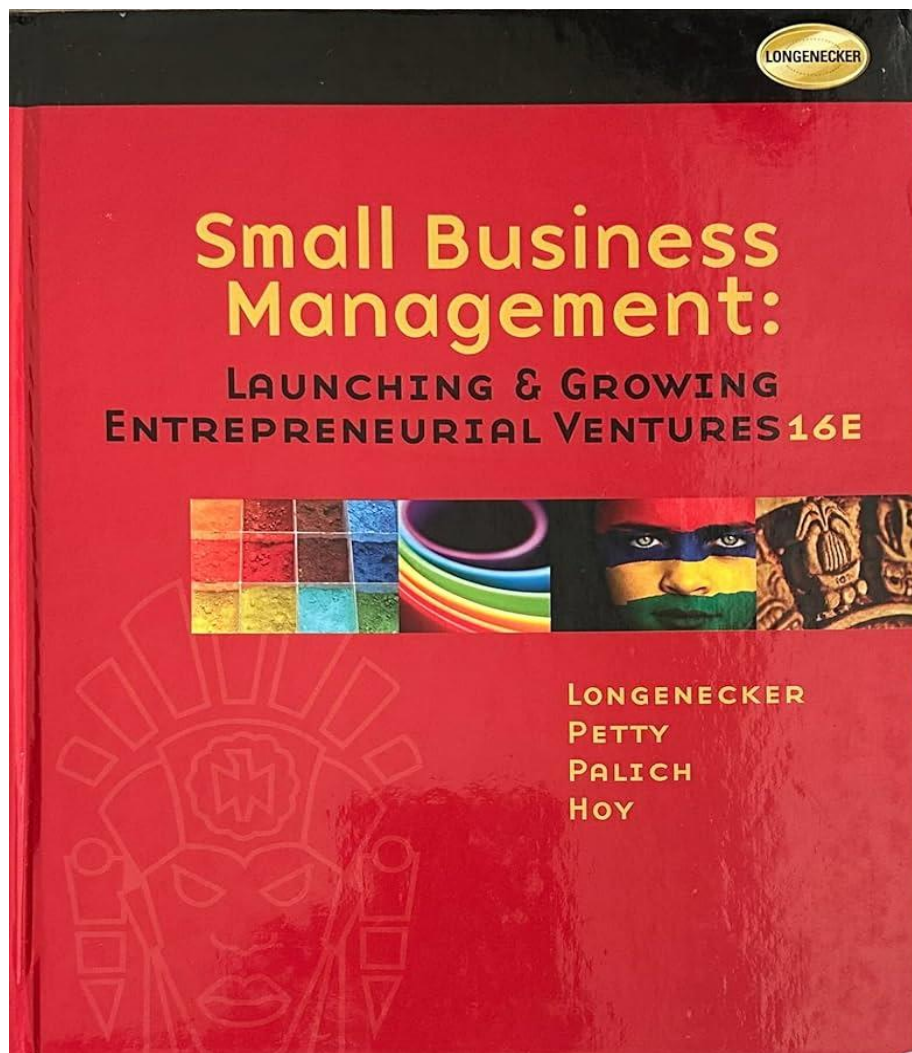




Entrepreneurship and Freelance Work

Introduced by : Eng. Esraa Alnajjar
Faculty of Computer and Information Technology

Outline :

- ❑ Chp_02 : Theories Related to Entrepreneurship
- ❑ Opportunity-Based Theory
- ❑ Resource-Based View (RBV)
- ❑ Social Capital Theory
- ❑ Effectuation Theory
- ❑ Others :
 - Institutional Theory
 - Behavioral Theory of Entrepreneurship
 - Economic Theory of Entrepreneurship
 - Psychological Theory of Entrepreneurship
 - Strategic Entrepreneurship Theory
 - Cognitive Theory of Entrepreneurship
 - Theory of Planned Behavior
 - High-Growth Entrepreneurship Theory
 - Corporate Entrepreneurship Theory

➤ Introduction

□ Definition of Entrepreneurship :

Entrepreneurship involves creating, managing, and growing new businesses, typically characterized by innovation, risk-taking, and value creation.

Overview of Theories

❑ **Purpose of Theories :** Entrepreneurship theories offer frameworks to explain the entrepreneurial process, from opportunity recognition to firm growth.

❑ **Main Theories:**

- Opportunity-Based Theory
- Resource-Based View (RBV)
- Social Capital Theory
- Effectuation Theory
- Others.

➤ Opportunity-Based Theory

❑ **Concept:** Entrepreneurs succeed by recognizing and seizing opportunities in the market.

❑ **Entrepreneurial Alertness :**

- Entrepreneurs are more alert to opportunities that others may overlook.
- A unique ability of entrepreneurs to identify market inefficiencies or unmet needs

❑ **Example :** Uber identified inefficiencies in transportation and built a platform that disrupted the taxi industry.

➤ Resource-Based View (RBV)

- ❑ **Key Idea :** A firm's unique resources and capabilities provide a sustainable competitive advantage.
- ❑ **Entrepreneurial Strategy :** Focuses on how entrepreneurs exploit internal and external resources.
- ❑ **Types of Resources :** Tangible (e.g., capital, equipment) and intangible (e.g., skills, brand reputation).
- ❑ **Example :** Apple's design and innovation are resources that helped differentiate it in the competitive tech market.

➤ Effectuation Theory

❑ Principles :

- **Bird-in-hand** : Focus on what you have (skills, networks).
- **Affordable loss** : Minimize risk by calculating the maximum downside.
- **Lemonade principle** : Adapt to surprises or failures.

❑ **Example** : early-stage startups often use this approach when they lack clear predictions about the future.

➤ Social Capital Theory

- ❑ **Core Idea** : Entrepreneurial success is influenced by social networks and relationships.
- ❑ **Strong vs. Weak Ties** : Strong ties provide trust and support, while weak ties often bring new ideas and opportunities.
- ❑ **Network Benefits** : Access to resources, investors, and mentorship through networking.
- ❑ **Example** : Mark Zuckerberg's network helped grow Facebook through connections with investors and industry leaders.

➤ Institutional Theory

- ❑ **Key Idea :** Institutional environments, such as legal systems and cultural norms, shape entrepreneurial behavior.
- ❑ **Formal Institutions :** Laws, regulations, and economic policies.
- ❑ **Informal Institutions :** Social norms and cultural attitudes towards entrepreneurship.
- ❑ **Example :** Compare entrepreneurial activity in countries with **supportive** policies, such as the U.S., versus **restrictive** environments.

➤ Innovation Theory

- ❑ **Core Concept :** Entrepreneurs driving economic growth by transforming existing markets through innovation.
- ❑ **Creative Destruction :** The process where old industries are replaced by new, innovative ones.
- ❑ **Example :**
 - disruptive innovations such as the iPhone, which revolutionized the mobile phone market changing how consumers interact with technology.
 - Electric vehicles, such as those produced by Tesla, are reshaping the automotive industry, promoting sustainable transportation and encouraging traditional automakers to innovate and adapt to new consumer preferences.

➤ Behavioral Theory of Entrepreneurship

- ❑ **Focus** : Emphasizes individual traits and behaviors that influence entrepreneurial success.
- ❑ **Key Traits** : Risk-taking, proactiveness, persistence, and adaptability.
- ❑ **Application** : Behavioral theory helps identify characteristics that lead to successful entrepreneurial outcomes.
- ❑ **Example** :
 - Jeff Bezos' risk-taking and vision led to Amazon's success
 - The persistence of Elon Musk in pursuing ventures like SpaceX and Tesla.

➤ Economic Theory of Entrepreneurship

- ❑ **Core Idea :** Entrepreneurs act as intermediaries in market economies, reallocating resources for higher efficiency.
- ❑ **Supply and Demand :** Entrepreneurs respond to market gaps by reallocating resources to **meet** consumer demand.
- ❑ **Growth Focus :** Entrepreneurs contribute to economic development by creating new jobs and industries.
- ❑ **Example :** many of small and medium-sized enterprises (SMEs) contribute to the growth of local economies.

➤ Psychological Theory of Entrepreneurship

- ❑ **Core Idea :** Focuses on the psychological traits that drive entrepreneurial behavior.
- ❑ **Key Traits :** Need for achievement, locus of control, and risk propensity.
- ❑ **Importance :** Psychological traits can predict an individual's likelihood to engage in entrepreneurial activities.
- ❑ **Example :** The psychological traits of Steve Jobs and how his perfectionism and drive shaped Apple's success

➤ Strategic Entrepreneurship Theory

- ❑ **Core Idea :** Entrepreneurs use strategic management principles to balance opportunity-seeking and advantage-seeking behaviors.
- ❑ **Focus Areas :** Opportunity recognition, resource mobilization, and strategic decision-making.
- ❑ **Impact :** Long-term value creation through innovation and strategic positioning.
- ❑ **Example :** Tesla used strategic entrepreneurship to become a leader in the electric vehicle market.

➤ Cognitive Theory of Entrepreneurship

- ❑ **Key Idea :** Entrepreneurs' cognitive processes, such as problem-solving, decision-making, and opportunity recognition, play a critical role in venture success.
- ❑ **Cognitive Biases :** Optimism bias, overconfidence, and pattern recognition.
- ❑ **Application :** Entrepreneurs often rely on intuition and experience to navigate uncertainty.
- ❑ **Example :** intuitive decision-making has been key for successful startups, such as Airbnb.

➤ Theory of Planned Behavior

- ❑ **Core Idea :** Entrepreneurial intentions are influenced by attitudes toward behavior, subjective norms, and perceived behavioral control.
- ❑ **Application :** Entrepreneurs are more likely to start businesses if they have positive attitudes, supportive social environments, and confidence in their abilities.
- ❑ **Example :** Entrepreneurship programs boost confidence and intentions among young entrepreneurs.

➤ High-Growth Entrepreneurship Theory

- ❑ **Key Idea :** Focuses on businesses that achieve rapid growth through innovation, market expansion, and scaling.
- ❑ **Growth Phases :** High-growth ventures often go through early survival, scaling, and market dominance phases.
- ❑ **Traits of High-Growth Entrepreneurs :** Ambition, scalability focus, and market disruption.
- ❑ **Example :** Shopify grew from a small startup to a global platform.

➤ Corporate Entrepreneurship (Intrapreneurship)

- ❑ **Definition :** Intrapreneurship involves entrepreneurial activities within established organizations.
- ❑ **Impact :** Large corporations foster innovation by encouraging employees to develop new products and services.
- ❑ **Key Example :** Google's "20% time" policy allows employees to work on side projects, which led to innovations like Gmail.

➤ Comparison of Theories

□ **Summary** : Briefly compare the key theories covered:

- **Opportunity-Based Theory** : Focus on spotting opportunities.
- **RBV** : Leveraging unique resources.
- **Effectuation Theory** : Working with what you have.
- **Social Capital** : Importance of networks.
- **Innovation Theory** : Market disruption through innovation.

□ **Insight** : Each theory offers different perspectives on entrepreneurial success.

❖ Application of Entrepreneurship Theories

- ❑ **Real-World Application** : How each theory can guide entrepreneurial decision-making and strategy formulation.
- ❑ **Practical Example** : entrepreneurs can use these theories to identify market opportunities, secure funding, and scale their businesses.

❖ How Each Theory Can Guide Entrepreneurship

Opportunity Theory:

Application: Entrepreneurs use this theory to look for untapped market opportunities. Careful market analysis is applied to identify gaps and new needs.

Practical Example: An entrepreneur can identify unmet demand for a new product or service using market research and exploit the opportunity to provide the right solution.

Institutional Theory:

Application: This theory allows entrepreneurs to understand the institutional environments in which their businesses operate, including the laws and regulations that may affect their operations.

Practical Example: When starting a new venture in a strict legal environment, entrepreneurs ensure full compliance with local laws to avoid legal risks.

Social Capital Theory:

Application: This theory relies on building relationships and networks to obtain support, advice, and resources. Social capital helps in obtaining funding or finding strategic partners.

Practical Example: An entrepreneur can build a strong network of investors and mentors to support the initial growth of the venture.

Resource Theory:

Application : The application of this theory revolves around the effective exploitation of available resources (material, human, and financial) to achieve competitive advantage.

Practical example: The entrepreneur focuses his efforts on using available resources such as his creative team or advanced technology to provide an innovative product that distinguishes him from competitors.

Innovation Theory :

Application: This theory is used to develop differentiation strategies by offering innovative products or services that can significantly transform the market.

Practical example: Companies such as Tesla apply the innovation strategy by introducing new technologies, such as electric cars, which allows them to differentiate themselves and gain a significant competitive advantage.

Theory of Planned Behavior:

Application: Entrepreneurs can evaluate their own intentions and determine their ability to implement ideas and projects based on factors such as social support and confidence in their abilities.

Practical example: An entrepreneurship training program works to enhance young people's confidence in their ability to start their own projects, which increases the chances of turning intentions into actions.

- ❖ A comprehensive practical example of applying theories

Identifying opportunities and securing funding:

An entrepreneur might use **opportunity theory** to identify an unmet demand in the e-commerce market. After identifying the opportunity, he or she relies on **social capital theory** to build a network of investors who can support the initial funding of the business. With sufficient funding, the entrepreneur can use **resource theory** to manage his or her team and use available technology to develop an effective platform that meets customer needs.

Scaling the business:

After proving the success of the project, the entrepreneur can rely on **innovation theory** to develop new features for the commercial platform that make it unique in the market. In parallel, he or she uses **strategic entrepreneurship theory** to plan for expansion into new markets and gain a greater competitive advantage, leading to greater market dominance.

❖ Case Study 1: Amazon

□ Opportunity-Based and RBV Theories :

- **Opportunity** : Spotting the gap in e-commerce.
- **RBV** : Leveraging resources such as technology and logistics.

□ **Key Takeaways** : How Amazon applied entrepreneurship theories to dominate the market.

❖ Case Study 2: Airbnb

□ Effectuation and Social Capital Theories :

- **Effectuation** : Airbnb's founders used available resources to bootstrap their startup.
- **Social Capital** : Leveraged networks for growth.

□ Key Takeaways : How Airbnb disrupted the hospitality industry.

Conclusion :

- ✓ **Summary :** Entrepreneurship theories provide valuable insights into the entrepreneurial process, offering guidance for opportunity recognition, resource management, and innovation.
- ✓ **Future Trends :** New entrepreneurial theories are emerging with the rise of digital entrepreneurship and sustainability-driven ventures.